

Buy-Before / Sell-After

The logic, end to end

How the strategy positions around a corporate event whose date is already known — the two-leg trade, why you buy before and sell after, exactly when each leg fires, and how the before/after timing is chosen from history. Worked for **Quarterly Results** and **Corporate Actions**.

NSE India • Yahoo Finance prices (adjusted close) • in-sample study, not investment advice

01 The idea: don't predict the event — position around a known date

We never forecast *whether* a result or dividend will happen. We read the date off the regulatory calendar — it is a public fact — and predict only **how the price tends to move around that fixed date**, using the stock's own history as the base rate.

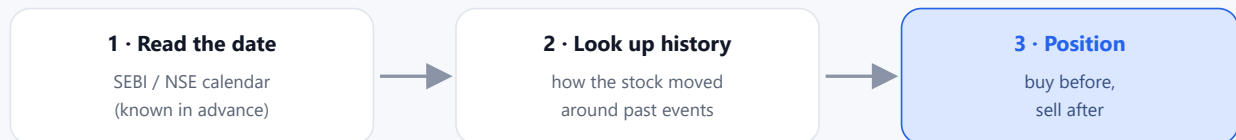


Figure 1. The event date is an input we read; the only thing predicted is the direction of the move.

02 The trade is two legs — buy before, hold through, sell after

One buy, one sell. You enter **N trading days before** the event at the closing price, hold straight **through** the announcement, and exit **M trading days after** at the close. You are never flat during the event.

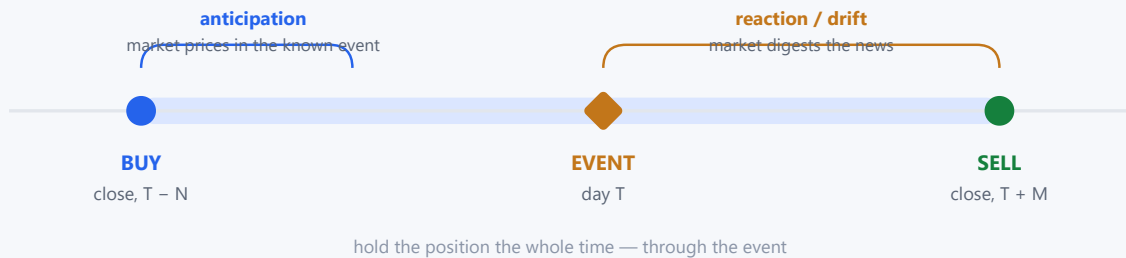


Figure 2. The two legs. Buy-before catches the run-up; sell-after catches the post-event drift; the event sits in the middle.

03 Why buy *before*, and why sell *after*

BUY BEFORE

To catch the anticipation

Because the date is public, traders position ahead of the catalyst and price tends to drift up *into* it — the “buy the rumour” run-up. Wait until the event day and that move is already gone. **N** is how far back you reach to sit inside the run-up.

SELL AFTER

To catch the drift

The reaction doesn’t finish in one tick — prices keep drifting for several days as the market digests the news (post-event drift). Exiting on the event day sells into the first spike; holding **M** days lets the digestion play out.

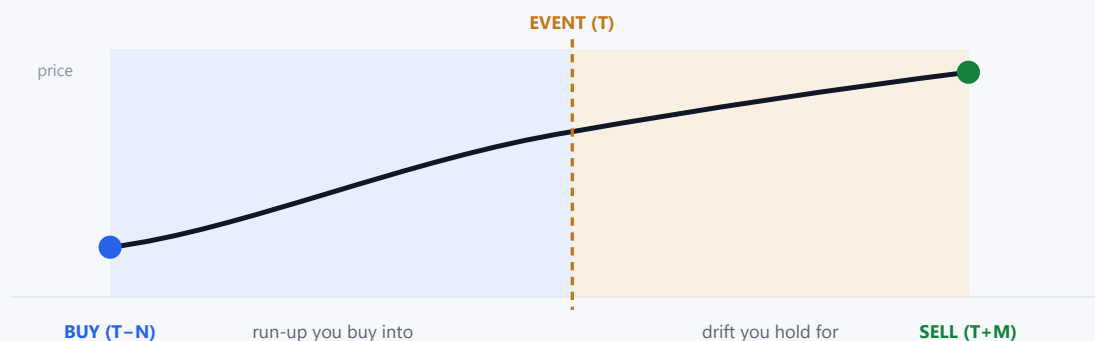


Figure 3. Schematic price path. Buying at T-N and selling at T+M captures both the anticipation run-up and the post-event drift. Illustrative shape, not a specific stock.

04 Exactly when each leg fires (from the code)

- 1 **Anchor the event to a trading day T.** T = the first trading day on or after the event date, so weekends/holidays snap forward to a real price day.
- 2 **Buy leg — step back N trading days.** `entry = close[T - N]`. Trading days, not calendar days, so “3 before” automatically skips the weekend.
- 3 **Sell leg — step forward M trading days.** `exit = close[T + M]`.
- 4 **Score the trade.** Compute the return and label it a win or loss:

```
entry = close[T - N] // buy N trading days before, at the close
exit  = close[T + M] // sell M trading days after, at the close
return% = ( exit / entry - 1 ) × 100
outcome = WIN if return% > 0 else LOSS
```

05 Calendar walk-through — “buy 3 before, sell 2 after”

Results broadcast on **Thursday 24 July**. Note the sell lands on **Monday**, not Saturday — because it counts trading days, skipping the weekend.

OFFSET	DATE	WEEKDAY	ACTION
T-3	21 Jul	Mon	BUY at close
T-2	22 Jul	Tue	hold
T-1	23 Jul	Wed	hold
T	24 Jul	Thu	EVENT — results out (hold through)
T+1	25 Jul	Fri	hold
—	26–27 Jul	Sat–Sun	market closed — not counted
T+2	28 Jul	Mon	SELL at close

One clean trade: bought Monday’s close, held over Thursday’s result, sold the following Monday’s close.

06 The two events — same machinery, different anchor date

Everything above is identical for both events. The **only** thing that changes is which calendar date T is pinned to, and how you know that date in advance.

QUARTERLY RESULTS

T = broadcast date

Date column `broadCastDate` from `financial_results.csv`. Knowable ahead because **SEBI LODR Reg 29** forces the company to intimate the results board meeting ≥ 5 **clear days** in advance — that public notice is your buy-before window.

CORPORATE ACTION

T = ex-date

Date column `exDate` from `corporate_actions.csv`. The ex-date and record date are broadcast by NSE (`caBroadcastDate`) **days-to-weeks** beforehand, so the date is fixed and public long before you must act.

Corporate actions use adjusted prices — the ex-date drop is already removed. Yahoo's adjusted close back-corrects for dividends/bonuses/splits, so holding through the ex-date does *not* capture the mechanical price fall or a "recovery" of it. The corporate-action result measures the **residual total-return drift** around the ex-date, not dividend capture.

07 How the before/after timing (N, M) is chosen — not by hand

We don't guess "3 and 2." We test **every** combination of $N = 1 \dots 8$ days before $\times M = 1 \dots 8$ days after — an $8 \times 8 = 64$ -rule grid — against all of the stock's past events, then let the data pick the winner.



The selection rule

- 1 **Require enough events.** Keep only rules backed by roughly **5+** past events (or all of them if the stock has very few) — so the winner isn't one lucky quarter.
- 2 **Keep the profitable ones.** Restrict to rules whose **average return is positive** (fall back to all if none are).
- 3 **Rank by win rate, then average.** The top rule's N, M, win rate and average return become the displayed "buy N before / sell M after."

08 What the win rate means — and its limits

$$\text{win rate} = (\text{\#events where return\%} > 0) \div (\text{total events}) \times 100$$

A **70% win rate** for the chosen rule means: across the stock's past events of that type, buying-before / selling-after finished green on **7 of every 10**. It is a **historical hit rate**, and the prediction for the next (known-date) event is simply that this base rate tends to repeat.

In-sample bias. The winning rule was chosen from 64 tries on the *same* history it's scored on, so the number flatters. The true forward win rate is lower — read it as a description of the past, not a promise about the future.

Read it with the event count. 100% on 3 events is far weaker than 60% on 30. The number is only as trustworthy as the sample behind it.

The honest one-liner. Buy N trading days before a known event date at the close, hold through the announcement, sell M days after at the close — where N and M are the before/after pair with the best historical win rate. Buy-before harvests anticipation; sell-after harvests drift.